

Notice that the move from A to C lasted about a month and a half. I've noticed in my trading that about 1.5 months before the end of the quarter (midway in the quarter, that is), the stock starts to move in anticipation of the next earnings announcement. The smart money begins adjusting their portfolio to appease holders. Fund managers want to show investors that they are into the hot stocks and are avoiding the underdogs. Maybe we're seeing that here, only the reverse.

The smart money starts to nibble on the stock, sensing a beaten down stock with problems that will be fixed by the start of the next quarter. Maybe the company wasn't able to close a big deal that quarter and would seal the deal shortly. That's the kind of reasoning traders use to justify taking a position in a fallen angel.

In August, the company announces earnings and price peaks at I, a day after the announcement (in the middle of a nice-looking diamond top, by the way).

In the meantime, the stock didn't complete the measured move down. Indeed, it formed an ugly double bottom at BD (a pattern where the two bottoms are far apart in price instead of bottoming near the same price).

Because bottom D remained above B, it was a bullish sign of good things to come. The measured move failed to see price drop in the second leg. Instead, the stock recovered from the disastrous earnings report, handing a failure to the measured move down.

Statistics

[Table 46.2](#) shows general statistics.

Number found. I found 1,380 measured moves with the first appearing in August 1991 and the most recent in January 2015 in 853 stocks, but not all stocks covered the entire period, and some no longer trade.